

ARM CEMENT LTD

(Formerly Athi River Minina Ltd)

UNAUDITED GROUP RESULTS FOR THE NINE MONTHS ENDED SEPTEMBER 30, 2012

	UNAUDITED 30.09.12	UNAUDITED 30.09.11	% INCREASE
CONSOLIDATED INCOME STATEMENT	30.09.12	30.09.11	
	KES'000	KES'000	
Turnover	7,743,789	6,008,965	29%
EBITDA	1,863,394	1,579,033	18%
Profit Before Exchange Loss	1,155,355	977,881	18%
Unrealized Exchange Loss (Gain)	(42,799)	681,017	
Profit Before Tax	1,198,154	296,864	304%
Taxation	(368,880)	(103,917)	
Non Controlling Interests	(2,780)		
Profit Attributable to Shareholders	826,494	192,947	328%
			AUDITED
CONSOLIDATED BALANCE SHEET AS AT		30.09.12	31.12.11
		KES'000	KES'000
Capital and Reserves			
Share Capital		495,275	495,275
Share Premium		302,027	302,027
Capital and Other Reserves		5,754,316	5,201,355
Non Controlling Interests		106,649	103,869
Total Equity		6,658,267	6,102,526
Non Current Liabilities		14,635,616	10,705,162
		21,293,883	16,807,688
Assets			
Non Current Assets		18,090,686	16,792,719
Working Capital:			
Current Assets		6,501,388	3,723,221
Current Liabilities		3,298,191	3,708,252
Net Working Capital		3,203,197	14,969
		21,293,883	16,807,688
CONSOLIDATED CASH FLOW FOR NINE MONTHS ENDED		30.09.12	30.09.11
		KES'000	KES'000
Cash Generated before working capital changes		1,863,394	1,579,033
Working Capital Changes		(357,108)	(469,210)
Cash Generated from operations		1,506,286	1,109,823
Net Interest		(374,364)	(239,391)
Tax Paid		(75,791)	(63,443)
Net Cash from Operating Activities		1,056,131	806,989
Net Cash used in Investing Activities		(1,631,641)	(2,704,199)
Net Cash from Financing Activities		3,523,617	1,483,694
Dividends Paid		(198,110)	(173,346)
Increase/(Decrease) in Cash and Cash Equivalents		2,749,997	(586,862)
At start of the Period		337,133	1,198,925
At end of the Period		3,087,130	612,061

RESULTS

The Board of Directors is pleased to announce the unaudited results for the Group for 9 months ended September 30, 2012.

Turnover for the first 9 months of 2012 increased by 29% to KES 7.74 billion over the corresponding period last year mainly driven by higher sales of Rhino Cement.

Profit Before unrealized foreign exchange differences increased by 18% from KES 978 Million to KES 1.15 Billion. Profit After Tax grew from KES 193 Million to KES 826 Million. The unrealized foreign exchange loss provision in the 9 months of 2011 was KES 681 Million. With the strengthening of the Kenya shilling, this exchange loss has since reversed and turned into a gain of KES 42 Million in 2012.

RHINO CEMENT LAUNCHED IN TANZANIA

Rhino Cement has been successfully launched in Tanzania. Cement production at the Dar es Salaam plant started in October 2012 and this will contribute to the group revenues in the 4th quarter of 2012. Construction at the 1.2 Million tons per year Clinker plant at Tanga is progressing as per schedule.

US \$ 50 MILLION CONVERTIBLE NOTE

African Finance Corporation (AFC) disbursed US \$ 50 Million to the Company in September 2012.

OUTLOOK

The Company remains optimistic about the business environment in the region, and expects the growth in demand for Rhino Cement and other products will continue.